

REIMAGINING DIAGEO INDIA

AFTER ACQUIRING UNITED SPIRITS IN 2014 AND CLEANING UP ITS BALANCE SHEET, UK-BASED ALCOBEV GIANT DIAGEO IS BUSY CONSOLIDATING ITS POSITION IN INDIA THROUGH A FOCUS ON PREMIUMISATION, STRATEGIC BUYOUTS, AND INNOVATION

BY KRISHNA GOPALAN

ON THE BUSY Vittal Mallya Road in central Bengaluru stands the UB Tower. The 20-storey tower, part of a commercial complex, is home to many high-profile names, including Diageo India, a subsidiary of the UK's Diageo plc, which acquired United Spirits, India's largest liquor company by revenue.

When United Spirits got under the Diageo umbrella, it was not just a new name for an old business. Diageo is a more aggressive organisation with a distinct multinational culture. The alcoholic beverages major, headquartered in London, has over 200 brands and a presence in 180 countries. For the financial year ended June 30, 2024, Diageo reported revenues of \$27 billion, of which 40% came from North America and 24% from Europe. Asia-Pacific contributed 19%, with India's share in the modest single digits.

Diageo has been trying to change this ever since it took over United Spirits a decade ago: it knows that very few markets offer the headroom for growth that India does. But the changes have come in fits and starts.

Hina Nagarajan, named Diageo India's boss in 2021 after a similar role at its African business, is hastening the pace. Nagarajan, who prefers a low pro-

RAISING THE BAR

▶ Diageo's acquisition of troubled United Spirits gave it a strong foothold in India's fast-growing alcobev market

▶ Globally, Diageo has a turnover of \$27 billion; while India's share is small, there is a huge opportunity with rising consumer affluence

▶ One of the key decisions Hina Nagarajan took after taking charge of Diageo was to exit the popular category

▶ From 18-24 months taken to launch a new brand, the timeline is down to six to nine months, in a bid to make the company more agile

▶ Launches like Royal Challenge American Pride and Johnnie Walker Blonde have increased visibility and profitability

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